CATHOLIC UNIVERSITY OF CENTRAL AFRICA (UCAC)
FACULTY OF SOCIAL SCIENCES AND MANAGEMENT
RESIT EXAMINATIONS 2025/2026
BME1 ELEMENTS OF ECONOMICS ***Time 2H30***

NOTE: *Attempt all Questions respecting the instructions against each question.*

QUESTION I (10 marks)
Write **TRUE** for the correct statement and **FALSE** for the wrong one. Do not copy any statement and do not write T or F for TRUE and FALSE respectively.

F 1) At the point of equilibrium, the indifference curve must be concave to the origin.
T 2) The demand for a good having a variety of uses is more elastic. True
F 3) Maximum pricing policy is deliberately fixing the price above the equilibrium price.
T 4) A reduction in the price of a good causes the real income of the consume to increase.
F 5) A change in the demand for a good refers to the movement along its demand curve caused by changes in the price of the good. True
F 6) The different definitions of economics are complete but controversial.
F 7) Economic facts and theories are antagonistic.
T 8) Microeconomics and macroeconomics are complementary.
T 9) The principal consideration in the question of the production technique is efficiency.
T 10) If two goods are unrelated, a change in the price of one will have no effect on the quantity demanded of the other.

QUSTION II (10 marks)
Choose the letter that corresponds to the best answer.
Questions (i) – (iv) refer to the following options. Choose the option that corresponds to the question.
(A) Early Economists (B) Classical Economists (C) Neo-classical Economists (D) Modern Economists.

A & C (i) Which group of economists defined economics in terms of scarcity?
B (ii) Which group of economists introduced welfare into economic analysis?
C (iii) Which group defined economics as the management of wealth?
A (iv) In which group of definition was economics labeled as a dismal science?
B (v) A consumer spends his total income on two goods X and Y. He will attain equilibrium when: (A) the marginal utilities of X and Y are equal (B) the ratio of the marginal utilities of X and Y is equal to the ratio of their respective prices (C) the utility of the last unit he bought of X equals the utility of the last unit he bought of Y (D) All of the above
C (vi) A given proportionate change in price brings about a more than proportionate change in quantity demanded. This refers to (A) relative elastic demand (B) perfectly elastic demand (C) relatively inelastic demand (D) unitary elastic demand
B (vii) A rise in price of good A results in less of good B being demanded, other things being equal. Goods A and B must be (A) in joint supply (B) substitutes (C) complements (D) Giffen goods.
C (viii) The shape of the abnormal demand curve can be explained by (A) Depression (B) price effect (C) Diminishing marginal utility (D) None of the above
C (ix) Effective demand implies that (A) the individual has expressed need for the good (B) the individual can pay for the good (C) the individual is willing and able to pay for the good (D) None of the above
D (x) Which model makes use of extrapolation? (A) Explanatory (B) Descriptive (C) Policy (D) Predictive